

UNIT – 3: INVESTMENT PLANNING & MANAGEMENT

Comparison of Capital Markets vs Money Markets

1. Definitions:

- **Money Market:** A market for **short-term** borrowing and lending where instruments have **maturities up to 1 year**. It helps businesses, banks and governments meet their immediate liquidity needs. Examples: **Treasury Bills, Commercial Paper, Certificates of Deposit (CD)**.
- **Capital Market:** A market for **long-term** funds where companies and governments raise capital for growth and investment. Instruments usually have **maturities over 1 year** Examples: **Equities (shares), Bonds, Debentures, ETFs**.

2. Purpose / Functions:

Money Market

- Provides **short-term liquidity** to businesses, banks and governments.
- Facilitates working capital management and overnight/short-term funding.
- Keeps interest rates stable in the short run.

Capital Market

- Mobilises **long-term capital** for business expansion, infrastructure and public projects.
- Enables **wealth creation** for investors through dividends, interest and capital gains.
- Supports economic growth and capital formation.

3. Typical Instruments:

Money Market Instruments:

- **Treasury Bills (T-bills)** — issued by government, very safe, < 1 year.
- **Commercial Paper (CP)** — short-term corporate borrowing.
- **Certificate of Deposit (CD)** — bank term deposit tradable in market.
- **Repo / Reverse Repo** — short-term collateralised borrowing.

Capital Market Instruments:

- **Equities (Shares)** — ownership stakes in companies.
- **Bonds / Debentures** — long-term debt with coupon payments.
- **Mutual Funds / ETFs** (equity & debt funds) — pooled investments.
- **Derivatives** (futures, options) — for hedging or speculation.

4. Maturity & Liquidity:

- **Maturity:** Money market ≤ **1 year**; Capital market > **1 year** (or perpetual for equity).

- **Liquidity:** Money market instruments are **highly liquid** and easily converted to cash; many capital market instruments (especially equities and traded bonds) are liquid too, but long-term bonds and certain securities can be less liquid.

5. Participants:

- **Money Market:** Banks, NBFCs, mutual funds (liquid funds), corporate treasuries, government, central bank.
- **Capital Market:** Retail investors, institutional investors (mutual funds, pension funds), corporates, stock exchanges, brokers.

6. Risk and Return:

- **Money Market: Lower risk**, lower returns; principal mostly preserved (suitable for parking short-term surplus).
- **Capital Market: Higher risk**, potential for **higher returns** (price volatility, market risk, credit risk for bonds).

7. Market Nature & Regulation:

- **Money Market:** Often informal (interbank) but regulated (RBI in India). Instruments may trade over the counter (OTC).
- **Capital Market:** Formal, exchange-based and regulated by authorities (SEBI in India) with stricter disclosure and investor-protection norms.

Feature	Money Market	Capital Market
Maturity	≤ 1 year	> 1 year / perpetual
Primary purpose	Short-term liquidity	Long-term capital formation
Risk	Low	Medium → High
Return	Low, stable	Potentially high, variable
Major players	Banks, NBFCs, govt, mutual funds (liquid)	Retail & institutional investors, companies
Examples	T-Bills, CP, CDs, Repo	Shares, corporate/govt bonds, ETFs, mutual funds
Regulator (India)	RBI (instruments & settlement)	SEBI (securities & exchanges)

Understanding Securities

Securities are **financial instruments** that allow individuals and institutions to invest money, raise capital, or transfer financial risk. They represent **ownership, a debt obligation**, or the right to future income.

1. Equity (Shares): Equity represents **ownership** in a company. When an investor purchases shares, they become a **shareholder** and own a part of the company's profits, assets, and decision-making rights.

Key Features

- **Ownership rights:** Includes voting rights, dividends, and participation in company decisions.
- **Return sources:**
 - **Dividends** (profit sharing)
 - **Capital gains** (increase in share price)
- **High return potential:** Historically outperforms most asset classes over long-term.
- **High risk:** Prices fluctuate due to market conditions, earnings, and economic factors.

Types of Equity

- **Common Shares:** Voting rights + dividends (not guaranteed).
- **Preference Shares:** Fixed dividends + priority over common shareholders but limited voting rights.

Example: Buying 10 shares of TCS gives you partial ownership in the company and potential profit from price rise or dividends.

2. Bonds (Debt Securities): A bond is a **loan given by an investor** to a government or company. In return, the issuer pays **interest (coupon)** at fixed intervals and returns the **principal** at maturity.

Key Features

- **Fixed interest income:** Ideal for predictable cash flow.
- **Lower risk than equity:** Especially government bonds.
- **Defined maturity:** e.g., 3, 5, 10, or 20 years.
- **Priority in repayment:** In case of liquidation, bondholders are paid before shareholders.

Common Types

- **Government Bonds (G-Secs)** — safest, issued by RBI on behalf of Govt.
- **Corporate Bonds** — issued by companies, higher return but higher risk.
- **Debentures** — secured or unsecured debt instruments.

Example: A 7-year bond with a coupon of 7% pays yearly interest and returns principal after 7 years.

3. Initial Public Offering (IPO): An IPO is the **first sale of shares** by a company to the public. It transforms a private company into a **publicly listed company**.

Key Features

- Conducted in the **primary market**.
- Funds used for expansion, debt repayment, or new projects.
- Price may be:
 - **Fixed price** (pre-set value)
 - **Book-built** (price discovered through bids)
- Requires approval from **SEBI** and issuance of DRHP (Draft Red Herring Prospectus).

Investor Benefits

- Opportunity to invest early in a promising company.
- Possible **listing gains** when share lists at a premium.

Risks

- No guarantee of profit; listing may happen at discount.
- Company performance may vary after listing.

4. Follow-on Public Offering (FPO): An FPO is when a company that is **already listed** issues **additional shares** to raise more funds.

Key Features

- Increases number of outstanding shares.
- Enhances liquidity in the secondary market.
- Often used for reducing debt or funding large projects.

Difference

- **IPO:** First-time issuance; company becomes public.
- **FPO:** Subsequent issuance; company is already public.

5. Mutual Funds: A mutual fund is an investment product where money from many investors is **pooled together** and managed by professional fund managers to invest in equity, debt, or hybrid instruments.

Key Features

- **Diversification:** Risk is spread across many securities.
- **Professional Management:** Run by Asset Management Companies (AMCs).
- **Low entry barriers:** Can invest small amounts via SIP.
- **Liquidity:** Investors can buy or sell units at NAV (except close-ended schemes).

Types of Mutual Funds

A. Based on Structure

1. Open-Ended Funds: These are mutual funds that do **not have a fixed maturity period**. Investors can enter or exit the scheme at any time.

Key Features:

- **No Lock-in:** Investors can buy or redeem units at any time depending on financial needs.
- **High Liquidity:** Best suited for investors who may need access to money anytime.
- **NAV-based pricing:** The price of units changes daily according to market conditions.
- **Flexibility:** Ideal for long-term investment strategies such as SIPs.

Example: Most equity funds and debt funds offered by AMCs (like HDFC Equity Fund).

2. Close-Ended Funds: These funds have a **fixed maturity**—usually 3, 5, or 7 years.

Key Features:

- **NFO-based entry:** Investors can invest only during the **New Fund Offer (NFO)** period.
- **Limited liquidity:** After NFO, units cannot be bought or sold directly from the fund.
- **Exchange trading:** Units are listed on stock exchanges; liquidity depends on market demand.
- **Targeted strategies:** Often used for tax-saving schemes or special investment themes.

Example: Fixed Maturity Plans (FMPs).

3. Interval Funds: These funds combine features of both open-ended and close-ended funds. **Key Features:**

- **Periodic liquidity windows:** Investors can buy or redeem units only during specific intervals announced by the fund (e.g., quarterly).
- **Suitable for medium-term goals:** More flexible than close-ended funds but less liquid than open-ended funds.
- **NAV-based transactions:** Price is determined at the time of purchase/redemption.

Example: Interval income funds investing in debt instruments.

B. Based on Investment Objective

1. Equity Funds: Funds that invest **majority (65% or more)** of their assets in equity shares of companies. **Key Features:**

- **High return potential:** Benefit from long-term market growth.
- **Higher risk:** Returns fluctuate because stock prices change frequently.
- **Suitable for:** Long-term goals like retirement, wealth creation, or children's education.
- **Professional stock selection:** Fund managers pick companies based on performance and growth prospects.

Types of Equity Funds:

- **Large-Cap Funds:** Invest in top 100 stable companies. Lower risk.
- **Mid-Cap Funds:** Faster-growing companies. Moderate risk.
- **Small-Cap Funds:** High-growth potential but high risk.
- **Sector/Thematic Funds:** Invest in specific sectors like IT, Pharma, Banking. High risk.

Example: ICICI Prudential Bluechip Fund.

2. Debt Funds: Funds that invest in **fixed-income instruments** such as government securities, company bonds, money market instruments, and treasury bills.

Key Features:

- **Lower risk:** Suitable for conservative investors.
- **Stable income:** Earn interest instead of capital gains.
- **Less volatile:** Because debt markets fluctuate less compared to equity.
- **Wide variety:** From very short-term to long-term funds.

Types of Debt Funds:

- **Liquid Funds:** For very short-term needs (up to 90 days).
- **Corporate Bond Funds:** Invest in high-rated corporate bonds.
- **Gilt Funds:** Invest in government securities; very low credit risk.
- **Short/Long Duration Funds:** Based on maturity profile of instruments.

Example: HDFC Corporate Bond Fund.

3. Hybrid Funds: Funds that invest in **a mix of equity and debt**, balancing risk and return. **Key Features:**

- **Balanced approach:** Equity for growth + Debt for stability.
- **Suitable for new investors:** Lower volatility compared to full equity funds.
- **Flexibility:** The ratio of equity and debt determines risk profile.

Types of Hybrid Funds:

- **Aggressive Hybrid Funds:** ~65–80% equity (higher risk, higher return).
- **Conservative Hybrid Funds:** ~10–25% equity (low risk).
- **Balanced Advantage Funds (BAF):** Dynamically adjust equity-debt allocation based on market conditions.

Example: ICICI Prudential Balanced Advantage Fund.

4. Index Funds / ETFs: Funds that replicate a specific market index (like Nifty 50 or Sensex) instead of being actively managed. **Key Features:**

- **Passive investing:** No active stock selection → lower management fees.
- **Low risk:** Returns match index performance; no fund manager bias.
- **Transparent:** Easy to track because index composition is public.
- **ETFs:** Traded like shares on stock exchanges.

Example: Nippon India Nifty 50 ETF.

5. ELSS (Equity-Linked Savings Scheme): A tax-saving mutual fund under **Section 80C** of the Income Tax Act. **Key Features:**

- **3-year lock-in:** Shortest among all tax-saving instruments.
- **Equity-oriented:** High return potential due to stock exposure.
- **Tax benefit:** Deduction up to ₹1,50,000 under Section 80C.
- **Long-term wealth creation:** Ideal for tax-saving + investment goals.

Example: Mirae Asset Tax Saver Fund.

Insurance Planning: Life and Non-Life Policies

Insurance is an essential component of financial planning. It protects individuals and families from unexpected financial losses by transferring risk to an insurance company. In return for regular payments called **premiums**, the insurer promises financial compensation for specific events such as death, illness, accidents, or property damage.

1. Life Insurance: Life insurance is a financial contract between an **insurer** and an **individual (policyholder)**, where the insurer promises to pay a **sum assured** to the nominee in case of the policyholder's death during the policy term.

1.1 Term Insurance: Term insurance is a **pure risk-protection plan** that provides financial coverage to the nominee if the policyholder dies during the policy term. It does **not** offer any maturity benefit if the insured survives the term. **Key Features**

- **High coverage at low premiums**, making it the most affordable life insurance.
- Policy terms are flexible: 10, 20, 30 years, or up to a certain age (e.g., 60 years).
- Ideal for protecting the family's financial future by replacing the policyholder's income.

Suitable For: Primary earners, young professionals, and those seeking **maximum coverage at minimum cost**.

1.2 Endowment Insurance: An endowment policy is a **life insurance + savings** plan. It pays a **lump sum** amount at the end of the policy term (maturity) if the insured survives, or to the nominee if the insured dies during the term. **Key Features**

- Provides both **life cover** and **guaranteed savings**.
- Suitable for long-term goals such as education, marriage, and wealth accumulation.
- Policy terms generally range from **10 to 20 years**, though some are longer.
- Premiums are higher than term insurance because they include a savings element.

Suitable For: Individuals wanting **risk-free savings** along with basic life cover.

1.3 Whole Life Insurance: Whole life insurance provides **lifelong coverage**, typically up to age 99 or 100, as long as the premiums are paid. It ensures that beneficiaries receive a payout regardless of when the insured passes away. **Key Features:**

- **Lifetime protection:** Covers the insured for their entire life, not just a fixed term.
- **Limited premium payment:** Some plans allow paying premiums for 10–20 years while coverage continues lifelong.

Suitable For: Individuals seeking permanent coverage and **wealth transfer** to family members.

1.4 Unit Linked Insurance Plans (ULIPs): A ULIP is a **market-linked life insurance product** that combines **insurance protection** with **investment opportunities**. A portion of the premium provides life cover, while the remaining amount is invested in equity, debt, or hybrid funds. **Key Features:**

- **Investment + Protection:** Offers both life cover and the potential for market-linked returns.
- Investors can choose fund types based on risk appetite (equity, debt etc.)
- Policyholder can switch between funds depending on market conditions.
- No guaranteed returns; performance depends on the stock and bond markets.
- Higher charges compared to term insurance due to fund management and policy fees.

Suitable For: Long-term financial goals such as **children's education, wealth creation, or retirement planning**.

2. Non-Life (General) Insurance: Non-life insurance (also called **general insurance**) refers to insurance policies that **do not cover life**, but instead protect individuals and businesses from financial losses arising from **accidents, illness, property damage, liability, theft, travel risks, and other unforeseen events**.

2.1 Personal Accident Insurance: Personal Accident Insurance provides financial compensation to the insured or their family in case of **accidental injury, permanent or temporary disability, or accidental death**. **Key Features**

- Covers **accidental death, permanent disability, and partial disability**.
- May also cover **loss of income** due to disability.
- Simple documentation; premiums are generally low.
- Can be purchased as an individual policy or group policy.

Suitable For: All individuals, especially those who frequently travel, ride two-wheelers, or work in physical or high-risk environments.

2.2 Motor Insurance: Motor insurance provides protection against financial loss related to **vehicles** such as cars, bikes, and commercial vehicles, arising from accident, theft, natural calamities, or third-party liability. **Key Features:**

- Covers **vehicle damage** due to accident, fire, theft, flood, or natural disasters.

- Provides **third-party liability cover**, which is **mandatory by law** under the Motor Vehicles Act.
- Covers **injuries** sustained by passengers or the driver (depending on policy).
- Can be purchased as:
 - **Third-party insurance** (mandatory)
 - **Comprehensive insurance** (recommended)

Suitable For: All vehicle owners, as legal compliance and financial protection.

2.3 Health Insurance (Medical Insurance): Health insurance covers **medical and hospitalization expenses** arising from illness, accidents, or surgical procedures. It helps reduce the financial burden of medical emergencies. **Key Features:**

- Covers hospitalization, surgeries, doctor consultations, diagnostic tests, and medicines.
- Available as **individual plans, family floater plans, or group plans**.
- Some plans offer **cashless treatment** in network hospitals.
- Also includes pre- and post-hospitalization expenses.
- Optional riders: critical illness cover, maternity benefits, OPD cover, etc.

Suitable For: All individuals seeking protection from rising medical costs and unexpected health emergencies.

2.4 Travel Insurance: Travel insurance protects individuals from various risks during domestic or international travel, ensuring financial security in case of unexpected events. **Key Features:**

- Covers **medical emergencies abroad**, including hospitalization.
- Compensation for **lost luggage**, theft, passport loss, and flight delays.
- Covers **trip cancellation** or curtailment due to medical reasons.
- Also provides **personal accident** and **accidental death/disability** benefits.
- Some policies include **personal liability protection**.

Suitable For: Individuals traveling overseas or long-distance frequently, especially for education, work, or tourism.

2.5 Property Insurance: Property insurance provides financial protection against **damage to physical property**, including homes, shops, offices, buildings, and household contents. **Key Features:**

- Covers risks such as **fire, theft, explosion, flood, earthquake, storms**, and other natural disasters.
- Includes: Homeowner's insurance, Renter's (tenant's) insurance and Disaster-specific policies.
- May cover both the **structure** and **contents** (furniture, appliances, valuables).

Suitable For: Individuals or businesses wanting protection for physical property from damage or loss.

2.6 Group Insurance: Group Insurance is a single policy that covers a **specific group of people**, typically employees of an organization, members of a society, or professionals in an association. **Key Features:**

- Offered by employers as part of employee benefits.
- Lower premiums due to the large number of insured members.
- Can include **group health, group term life, or group personal accident policies**.
- Often provides coverage even to members with pre-existing conditions.

Suitable For: Organizations looking to provide affordable protection to employees or members.

Role of IRDAI (Insurance Regulatory and Development Authority of India)

IRDAI is the **apex regulatory body** for the insurance sector in India. It ensures that insurance companies operate fairly, transparently, and in the best interest of policyholders. **Key Functions:**

- **Protecting policyholders' interests**—ensuring fair treatment, timely claim settlement, and transparency.
 - **Regulating insurance companies**—granting licenses, monitoring operations, ensuring solvency.
 - **Overseeing agents and intermediaries** to ensure ethical conduct.
 - **Promoting orderly growth** of the insurance industry through rules and guidelines.
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Pension Essentials and the Importance of Financial Security Post-Retirement

Understanding Pension:

A **pension** is a **regular income** that a person receives after retirement. It replaces the salary earned during working years and helps individuals maintain their standard of living when they no longer have a steady income.

Purpose of Pension

- Provides **financial security** in old age.
- Helps individuals meet daily expenses, medical costs, and living needs.
- Ensures independence and dignity after retirement.

Pension planning encourages people to **save and invest** during their earning years so that they receive a **steady income** after retiring.

Importance of Financial Security Post-Retirement:

Retirement is a major life transition where regular income stops, but expenses continue. Without proper planning, individuals may face financial stress.

Key Reasons Why Retirement Planning Is Important

1. **No Regular Income After Retirement:** Savings and pensions become the only sources of money.
 2. **Rising Medical Costs:** Older individuals face higher healthcare expenses.
 3. **Increasing Life Expectancy:** People live longer, which means they need income for more years.
 4. **Inflation:** The cost of living increases over time; savings must grow to keep pace.
 5. **Maintaining Lifestyle:** Proper planning ensures one can live comfortably without depending on children or relatives.
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Overview of the National Pension System (NPS)

1. Introduction to NPS

The **National Pension System (NPS)** is a **government-approved, voluntary retirement savings scheme** designed to help Indian citizens build a secure financial future after retirement.

It encourages individuals to develop the habit of **long-term savings** and provides a combination of **regular contributions, professional fund management, and market-linked returns**. **Who Can Join:**

- All Indian citizens aged **18 to 60 years** can enroll.
- Includes individuals from both the **organized** and **unorganized** sectors.

2. Types of NPS Accounts: NPS offers two separate accounts: **Tier I** and **Tier II**.

2.1 Tier I Account (Mandatory – Retirement Account)

Key Features

- Primary account meant for **retirement savings**.
- **Mandatory** at the time of joining NPS.
- **Restricted withdrawals**—only allowed under specific conditions (e.g., medical emergencies, education, house purchase).
- Offers **tax benefits** under Section 80CCD of the Income Tax Act.
- Amount cannot be freely withdrawn—ensures money stays invested for retirement.

2.2 Tier II Account (Voluntary – Savings Account)

Key Features

- Optional account for **flexible savings**.
- Funds can be withdrawn **anytime without restrictions**.
- No tax benefits on contributions.
- Can be opened only if the subscriber already has a Tier I account.
- Works like a **regular investment account**, with no locking period.

3. Investment Choices under NPS: Subscribers can choose **how their money gets invested**. NPS offers four types of asset classes:

3.1 E – Equity

- High-risk, high-return option.
- Invests mainly in shares and equity-linked instruments.
- Suitable for long-term growth.

3.2 C – Corporate Bonds

- Medium risk, medium return.
- Invests in high-quality corporate debt instruments.
- Provides stable returns.

3.3 G – Government Securities

- Low-risk, low return.
- Invests in government bonds and treasury instruments.
- Suitable for conservative investors.

3.4 A – Alternative Assets

- High-risk, high-return.
- Invests in instruments like REITs, InvITs, MBS, CMBS, and Alternative Investment Funds.
- Available only in **Tier I** account (not in Tier II).

4. Modes of Investment Choice: Subscribers can choose between **Active Choice** and **Auto Choice**.

4.1 Active Choice

- Subscriber **selects the percentage** of funds to be invested in each asset class (E, C, G, A).
- Restrictions:
 - Equity (E) cannot exceed **75%**.
 - Alternative assets (A) cannot exceed **5%**.

4.2 Auto Choice (Lifecycle Fund)

- Investment allocation is determined by **the subscriber's age**.
- Younger investors get higher exposure to equity; exposure decreases as age increases.
- Automatically balances risk and return over time.

5. Benefits of NPS

- **Low-cost** retirement planning product.
- Allows **professional fund management**.
- Provides **market-linked returns**, usually higher than traditional pension plans.
- Offers **tax benefits** (especially on Tier I).
- Transparent and regulated by **PFRDA**.

6. Exit and Withdrawal from NPS

- Upon reaching **60 years**, the subscriber can withdraw:
 - A portion as **lump sum**, and
 - Use the remaining amount to purchase a **pension (annuity) plan** that provides monthly income.
 - Partial withdrawals from Tier I allowed under strict conditions (education, marriage, medical treatment, etc.).
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Role of PFRDA: The **Pension Fund Regulatory and Development Authority (PFRDA)** regulates and supervises pension schemes such as NPS in India.

Key Functions

- Develop and promote pension sector.
 - Regulate NPS and ensure transparency.
 - Protect the interests of subscribers.
 - Oversee pension fund managers.
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Avoiding Ponzi Schemes & Online Financial Frauds

Financial frauds are increasing with the growth of digital platforms and unregulated investment schemes. Understanding how these frauds work and how to identify them is essential for protecting your money.

1. Ponzi Schemes: A **Ponzi scheme** is a fraudulent investment operation where returns paid to old investors come from the money collected from new investors—not from real profits. It collapses when new investors stop joining. **Key Characteristics:**

- **Promise of high and guaranteed returns** with little or no risk.
- **Returns remain artificially consistent**, regardless of market conditions.
- **Unregistered schemes** not regulated by SEBI or government bodies.
- **Unlicensed agents** who are not legally permitted to advise or collect money.
- **Non-transparent practices**, unclear documents, vague business models.
- **Difficulty withdrawing money**—fraudsters make excuses or pressure investors to stay.

Why Ponzi Schemes Collapse

- They require continuous inflow of new investors.
- Once inflow slows, promoters cannot pay promised returns.
- Promoters often disappear with remaining funds.

2. How to Identify a Ponzi Scheme (Red Flags)

1. **Guaranteed high returns** with no or very low risk.
2. **Consistently positive returns**, even when markets are down.
3. **No proper registration** with SEBI or the government.

4. **Agents not licensed** to sell investment products.
5. **Lack of transparency**—no official documents, unclear business activity.
6. **Problems in receiving payouts** or delays in withdrawals.
7. **Pressure to recruit new investors** or bring in more money.

3. Common Online Financial Frauds

3.1 Mass Marketing Fraud: Fake emails or messages that appear to be from trusted companies asking users to click links, share data, or make payments.

Prevention: Verify the sender, avoid suspicious links, and never share personal details online.

3.2 Credit & Debit Card Fraud: Occurs when someone uses your card details or PIN without permission.

Prevention:

- Never share PIN or OTP with anyone.
- Enable SMS alerts.
- Avoid swiping your card at unsecured places.

3.3 Lottery or Prize Fraud: Scammers tell victims they won a prize but must pay a “processing fee” or “tax” to claim it.

Prevention: Legitimate contests never charge fees. Ignore such messages.

3.4 Investment Fraud: A fake business asks you to invest and later disappears with your money. Often involves recruiting new members.

Prevention: Invest only in regulated entities and verified financial products.

3.5 Affinity Fraud: Fraudsters exploit trust within groups (religious groups, communities, social clubs).

Prevention: Do not invest only because someone you trust recommends it. Verify independently.

4. Protection Against Frauds

To stay safe, follow these guidelines:

Do's

- Invest only through **SEBI-registered investment advisers (IAs)**.
- Ask for **risk profiling** and written documentation.
- Pay advisory fees **through bank channels only**.
- Verify the adviser's **SEBI registration number** on the SEBI website.
- Read all terms and conditions carefully.
- Report suspicious activities to SEBI or the concerned authority.

Don'ts

- Do not deal with **unregistered advisers** or companies.
- Do not fall for **assured returns** or “guaranteed profit.”

- Never give money to an adviser to invest on your behalf.
- Don't invest based on random phone calls, WhatsApp messages, or social media tips.
- Avoid making decisions out of greed or urgency.

5. Role of SEBI in Preventing Fraud

SEBI regulates investment advisers and ensures investor protection by:

- Registering IAs under **SEBI (Investment Adviser) Regulations, 2013**.
 - Monitoring their conduct through a Code of Ethics.
 - Penalizing unregistered or fraudulent entities.
 - Providing investor grievance redressal mechanisms.
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